

Benefit cards Overview

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1. Product Overview

The Multi Benefit Card is a prepaid, multi-wallet card solution designed for corporates to offer their employees a seamless, compliant, and tax-efficient way to manage multiple employee benefits. The card features distinct wallets for Food/Grocery, Fuel, and Telecom expenses, each governed by specific usage rules and merchant category code (MCC) restrictions. This structure ensures that employee benefits are utilized strictly for their intended purposes, enhancing compliance and simplifying expense management for both employers and employees.

Value Proposition:

- Streamlines employee benefit disbursement and usage.
- Ensures regulatory compliance and tax efficiency.
- Enhances employee experience with a single, easy-to-use card for multiple benefit categories.
- Provides organizations with robust controls and reporting.

Multi-Wallet Structure:

- **Wallet types**

- **Food/Grocery Wallet:** Usable at food outlets, restaurants, grocery stores, and supermarkets.
- **Fuel Wallet:** Usable at petrol pumps and fuel stations.
- **Telecom Wallet:** Usable for mobile, internet, and telecom-related expenses.
- **Open PPI wallet:** has 2 purposes
 - **Reimbursements -**
When an employee incurs fuel expenses using personal funds, they can claim reimbursement against their pre-allocated fuel wallet balance. The process involves submitting authentic fuel receipts for finance team validation. Once approved, the system performs a wallet transfer - debiting the designated fuel benefit wallet and crediting the employee's primary account, enabling them to recover their out-of-pocket fuel expenses while utilizing their tax-efficient benefit allocation. This process essentially allows employees to monetize their unused fuel benefits by providing proof of legitimate fuel purchases made through personal payment methods
 - **End of the year process:** Any unused balance is moved to this wallet
 - Benefit card holder to get bank transfer capability from General wallet (existing capability)
- **Usability**
 - Each wallet is mapped to specific MCCs to restrict usage to the designated category except reimbursement.
 - We need follow IT guidelines on MCC mapping → To be shared by Transcorp.

2. Target Audience

Phase 1 (30th Nov):

- Internal employees of the Tide who already possess a company-issued benefit card (PPI card) and phase out sodexo offering.

Phase 2 (Feb 2026):

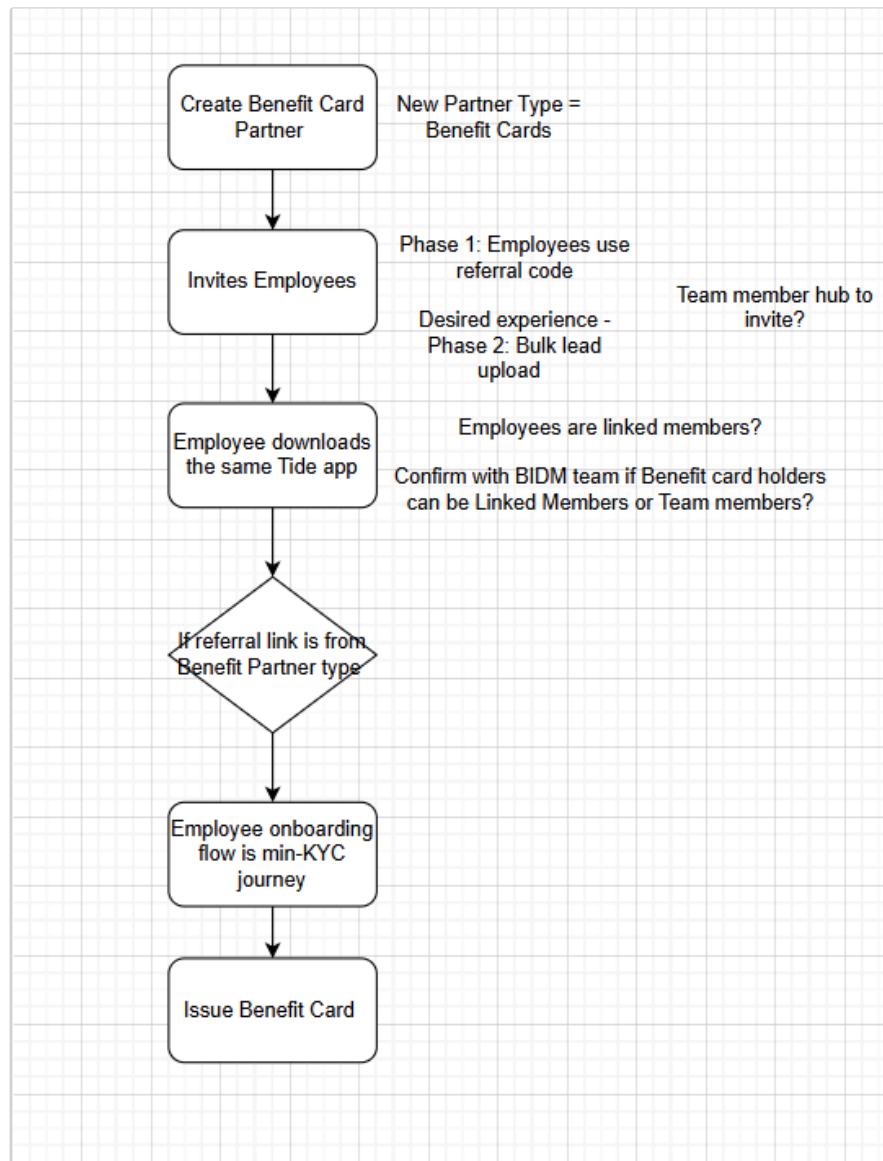
- Corporate clients (other organizations) and their employees, expanding the offering as a B2B solution.

3. Product Features

3.1 Corporate Employer Structured Partner Onboarding

- Corporate employer onboarding process to be same as SP onboarding
- Corporate employer onboarding policy - **to be discussed with Transcorp**

Proposal to use the Existing SP solutions web portal to power the Corporate Employer experience



3.2 Corporate Load Funds

- Corporate will load funds with Transcorp first
- Use existing rails to make payouts - M2P API to move money from SPs Tide account to linked members main Tide account
- Wallet definition missing in the current payout solution - food, fuel, telecom etc (to be discussed with Kanaka)

Transcorp confirmed - we can use the existing load funds and payouts process

3.3 Linked Member Onboarding - KYC (Know Your Customer) Process

All KYC processes will strictly adhere to the Reserve Bank of India (RBI) guidelines for Prepaid Payment Instruments (PPIs).

KYC Type:

- **Full KYC (Full KYC PPI):**

- **Documentation:** Submission and verification of officially valid documents (OVDs) such as Aadhaar, PAN, Passport, Voter ID, or Driving License via video KYC (using the existing flow of Tide)
- **Limits:** Maximum balance of ₹2,00,000 at any point in time (across all full KYC PPIs with the same issuer).
- **Features:** Allows cash withdrawal, fund transfer, and higher transaction limits.

KYC Upgrade Process:

- When a minimum KYC wallet (small PPI account) approaches the ₹10,000 limit, the system will trigger a notification to the user to complete full KYC
- All further credits to the small PPI account from the Employer will not be allowed in the following conditions -
 - The small PPI wallet already has amount = 10,000
 - The small PPI wallet has X amount and the new credit amount will make the wallet balance greater than 10K
 - Benefit card holder has spend 10K in that month - check if further credit can be allowed in that month
- The Member must be notified that further credit are stopped with a reason along notification to complete their VKYC
- The Member must submit OVDs for verification.
- Upon successful verification, the wallet is upgraded to full KYC status, and limits/features are enhanced accordingly.

Option Identified to Notify the member:

- Set up an account action or IAN banner to trigger when a member's overall balance reaches 7,000.
- Use this as a prompt to encourage members to complete full KYC.
- The message should include a deeplink, guiding members directly to the full KYC flow.

Dependencies:

- MEM or Account Platform based on the solution we choose to notify members.

3.4 Card Allocation and Activation

Allocation:

- Card will be issued to the Employee linked member after min KYC
- Cards will be allocated to eligible employees who opted for the old regime and opted for meal, fuel and telecom benefits - to be handled in Corporates Payroll system
- Card details are mapped to the employee's profile in the organization's system for payroll.

Activation:

- Employees receive a digital onboarding link via email/SMS.
- Digital onboarding includes:
 - Accepting terms and conditions.
 - Completing minimum KYC (if not already done).
 - Setting up a PIN and activating the card for use

3.5 Card Type

- Phase 1 - regular Blue Tide Card
- Phase 2 - new card design for Benefit Cards

3.6. Usage and Restrictions

Wallet Usage:

- **Food/Grocery Wallet:** Usable only at merchants with MCCs related to food and groceries (e.g., 5411, 5812, 5814).
- **Fuel Wallet:** Usable only at fuel stations (MCC 5541, 5542).
- **Telecom Wallet:** Usable only for telecom-related payments (MCCs for telecom services, mobile recharges, internet bills).

Controls:

- Transactions are restricted at the POS and online based on MCC mapping.
- The system will decline transactions attempted outside the designated MCCs for each wallet
- ATM withdrawal is not permitted for the multi benefit wallet
 - If Tide is not using a new program for Benefit cards: Tide should control the auth based on wallet.
 - If Tide is using a new program:
- **Channel management for multi benefit wallets - Can Members manage POS, Online and Tap & Pay channel**
- SET PIN is permitted

- Card reordering - to be allowed or not? as there a card replacement fee which is typically borne by the Employer
- Spend Limit management - to be available to cardholders

Operating Model of Benefit Txns

1. To be powered through RuPay network

6. Phased Rollout Plan

Phase 1: Internal Launch

- Pilot with internal employees.
- Gather feedback, monitor usage, and ensure system stability.
- Refine processes and address operational issues.

Phase 2: Corporate Offering

- Expand to external corporate clients.
- Onboard organizations and their employees.

7. User Experience

Employee Journey:

- Employee receives notification of card allocation.
- Completes digital onboarding and KYC.
- Receives and activates the card.
- Uses the card for eligible expenses in each wallet category.
- Receives real-time notifications and statements for transactions.
- If the minimum KYC limit is reached, receives prompt to upgrade to full KYC.

8. Flow of funds

No change in FoF, it is mentioned here in the procedure - [Operations Procedure - Partner Solutions](#)

9. Vulnerable users:

Response - Tideans have been sent clearly communication about the proposition. 30 Tideans have willingly come forward to help us with the Pilot launch. In that sense it is a Member

initiated journey. MS team is also trained to handle and support Member queries related to this feature

10. Impacted Models:

NA

11. Open Questions

Question	Who should answer?	Response
MCC codes based on the IT guidelines for each wallet (Fuel, Meal, Telecom)	M2P and Transcorp	
ATM withdrawal is not permitted for the multi benefit wallet - How to configure it?	M2P and Tide	
As per our understanding, the triggers for VKYC are following: • The small PPI wallet already has amount = 10,000 • The small PPI wallet has X amount and the new credit amount will make the wallet balance greater than 10K • Benefit card holder has spend 10K in that month - check if further credit can be allowed in that month	Transcorp and M2P	

Please let us know if any condition is missing		
Corporate Structured Partner Onboarding Policy (Benefit Cards)	Transcorp	
Transfer funds at the end of the year to open loop wallet (Reimbursement) from closed loop wallet (Benefit wallets), do we have an API for it?	Transcorp and M2P	

Next Steps

- Get answers to our questions and have discussion based on the answers received.
- Have a kickoff call next week.